



Kamuthi solar power project, one of the world's largest, in Tamil Nadu

Adani is unfazed by flak that his group is 'over-leveraged', and points to the ratings from global credit agencies

attractive production linked incentive (PLI) scheme which has made the hydrogen business attractive and viable."

In green energy, the rivalry between him and Mukesh Ambani, India's second richest man, is palpable. Adani's announcement came just days after Ambani, whose Reliance Industries plans to invest $75 billion in renewables infrastructure including generation plants, solar panels and electrolysers, had announced a fifth giga factory as part of RIL's investment in low carbon energy. Adani, who rubbishes suggestions of a business rivalry with Ambani, says his relationship with "Mukesh*bhai*" is of mutual respect, but adds that any new technology "needs to start somewhere". Over the course of time, the cost of business would drop, making such technologies more affordable. He cites the example of the solar power business, where the high cost of solar panels in the early days led to tariffs as high as Rs 18 per unit. However, as input costs came down, so did tariffs, and today it is less than Rs 2.50 per unit.

QUESTIONS ON FINANCES

Large acquisitions such as the one in cement require a huge amount of capital. In fact, Adani's growth is underlined by the 50 companies he bought in the past seven years. Having borrowed heavily from banks to fuel his ambitions, the group debt had swelled to around Rs 1.88 lakh crore, as of March 2022. And there is more spending in the pipeline. Adani Enterprises, which has interests in new energy, transport and consumer businesses, plans to spend $10.4 billion (over Rs 86,000 crore) as capital expenditure till 2024. In the following five years from then on, the capex would be $49 billion (around Rs 4 lakh crore). Some critics say the group is 'over-leveraged', and that the structures the group has created make it difficult to determine the consolidated position of debt and equity.

Adani is unfazed by such criticism. His explanation is that global rating agencies, whose credit ratings are critical to raising capital overseas, have given his companies ratings that are equivalent to sovereign ratings (the country's ratings). Moreover, in infrastructure, the biggest raw material is capital, and capital is a mix of debt and equity. The Adani Group's debt to EBITDA (earnings before interest, taxes, depreciation and amortisation, a measure of profitability) ratio, which was 7.6 per cent some seven years ago, has shrunk to 3.2 per cent. The group's exposure to borrowings from banks, which was 86 per cent nine years ago, is now down to 32 per cent with almost 50 per cent of the borrowings coming from international bonds.

THE POLITICS OF BUSINESS

How did Adani achieve all this in such a short time and also got the stock markets to cheer him? The soft-spoken industrialist